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6. On 1st January, 2016, provision for doubtful debts account had a balance of ` 3,000. On December 31, 2016, sundry debtors amounted to ` 80,000. During the year, bad debts to be written off were ` 2,000. A provision for 5% was required for next year. Pass journal entries and show how these items would appear in the final accounts.

(**Answer**: Profit and loss account: ` 2,900 (Dr.);
Balance of sundry debtors in balance sheet: ` 74,100)

7. The following are the extracts from the trial balance.

Sundry debtors ` 30,000; Bad debts ` 5,000

Additional information:

(a) Write off further bad debts ` 3,000.

(b) Create 10% provision for bad and doubtful debts.

You are required to pass necessary adjusting entries and show how these items will appear in profit and loss account and balance sheet.

(**Answer**: Profit and loss account: ` 10,700 (Dr.),
Balance of sundry debtors in balance sheet: ` 24,300)

8. The following are the extracts from the trial balance.

| Particulars | Debit ` | Credit ` |
|---|---|---|
| Sundry debtors | 50,000 | |
| Provision for doubtful debts | | 5,000 |
| Bad debts | 3,000 | |

Additional information:

(a) Additional bad debts ` 3,000.

(b) Keep a provision for bad and doubtful debts @ 10% on sundry debtors.

You are required to pass necessary adjusting entries and show how these items will appear in profit and loss account and balance sheet.

(**Answer**: Profit and loss account: ` 5,700 (Dr.),
Balance of sundry debtors in balance sheet: ` 42,300)

9. The accounts of Lakshmi traders showed the following balance on 31st March, 2016.

Sundry debtors ` 60,000; Bad debts ` 2,000

Provision for doubtful debts ` 4,200

At the time of preparation of final accounts on 31st March, it was found that out of sundry debtors, ` 1,000 will be irrecoverable. It was decided to create a provision of 2% on debtors to meet any future possible bad debts.

Pass necessary journal entries and show how these items would appear in the final accounts.

(**Answer**: Profit and loss account: ` 20 (Cr.);
Balance of sundry debtors in balance sheet: ` 57,820)